

statistics, the numbers are now 84.6 and 86.9, respectively. The headline values—73.6 and 79.2—only apply to newborns. As you age and, hence, survive hazards like infant mortality, teenage accidents, child bearing years, and so on, your life expectancy at these higher ages increases.



Financial Times, January 19, 2004

Figure 7.1 The headlines are changing.

Yet, when talking to individuals who are outside the financial services (or medical) profession, I find that there is pervasive confusion regarding what these life expectancy numbers actually mean. These misunderstandings can lead to behaviors that result in under-saving and underestimates of retirement income needs. In this chapter, I take a closer look and discuss some of the misconceptions as they relate to longevity and the amount of time your financial capital truly must last.

Life Expectancy Is Not That Meaningful

To start off, I think that life expectancy averages are not the best way to explain these ideas. Averages can be deceiving. In fact, there is a silly joke about a statistician who immerses one hand in scalding hot